SESSION 2 · INDUSTRY INNOVATION

SHEIN

When the world changes faster than the model.

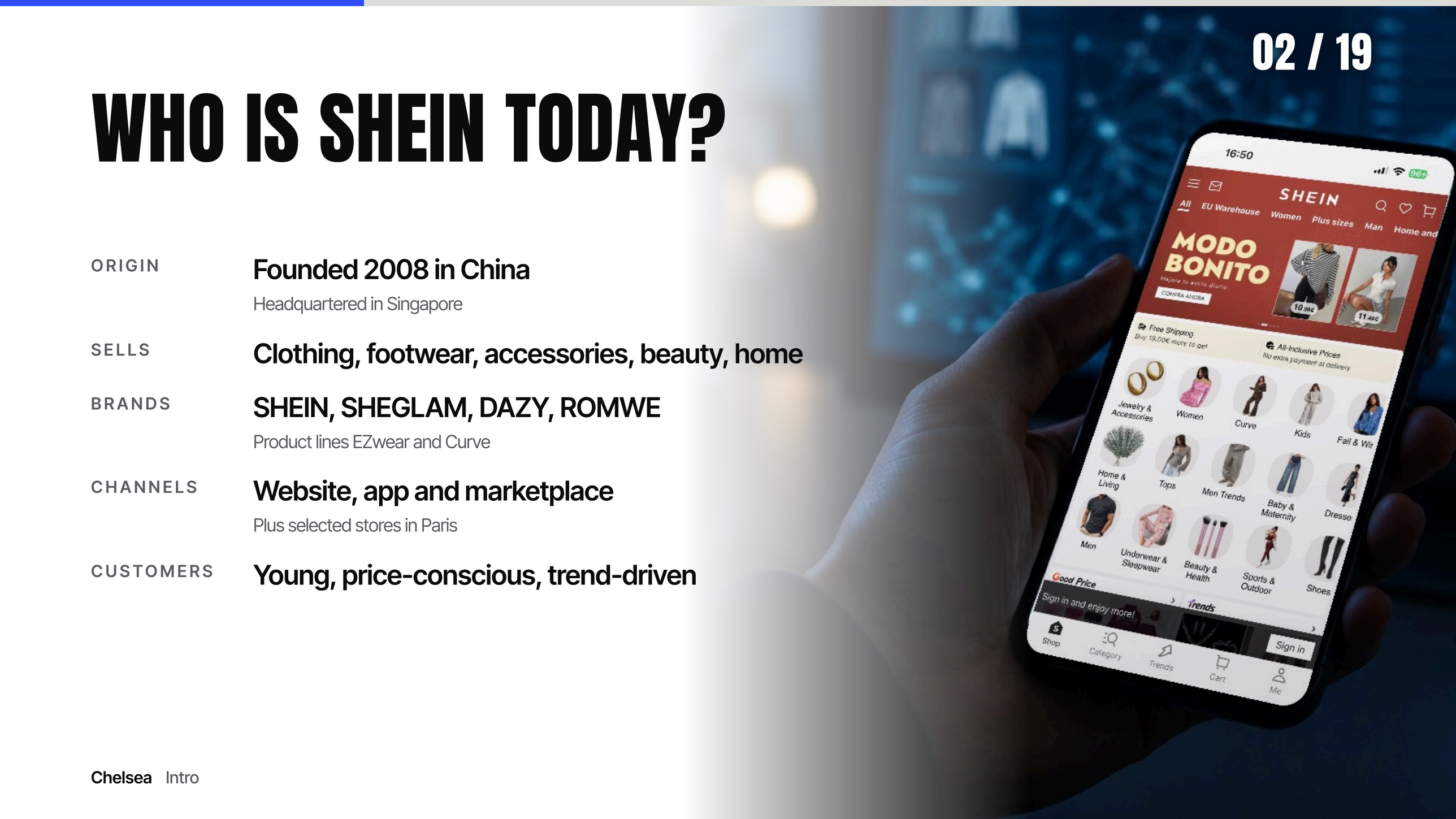
Strategies for Sustainable Business
Professor Marc Francés · EADA Business School

Chelsea · Naud · Joé · Kira · Maëa
October 2026

Chelsea Intro

WHO IS SHEIN TODAY?

ORIGIN	**Founded 2008 in China** Headquartered in Singapore
SELLS	**Clothing, footwear, accessories, beauty, home**
BRANDS	**SHEIN, SHEGLAM, DAZY, ROMWE** Product lines EZwear and Curve
CHANNELS	**Website, app and marketplace** Plus selected stores in Paris
CUSTOMERS	**Young, price-conscious, trend-driven**



SHEIN IN NUMBERS

160
markets worldwide

298M
orders in Q2 2026 · **+7.6%** year over year

US$813M
net cash from operating activities (June 2026)

16,000+
people have joined the team worldwide

40+
offices, from Singapore to Paris and London

PORTER'S FIVE FORCES

BUYER POWER

HIGH

Consumers control pricing and loyalty

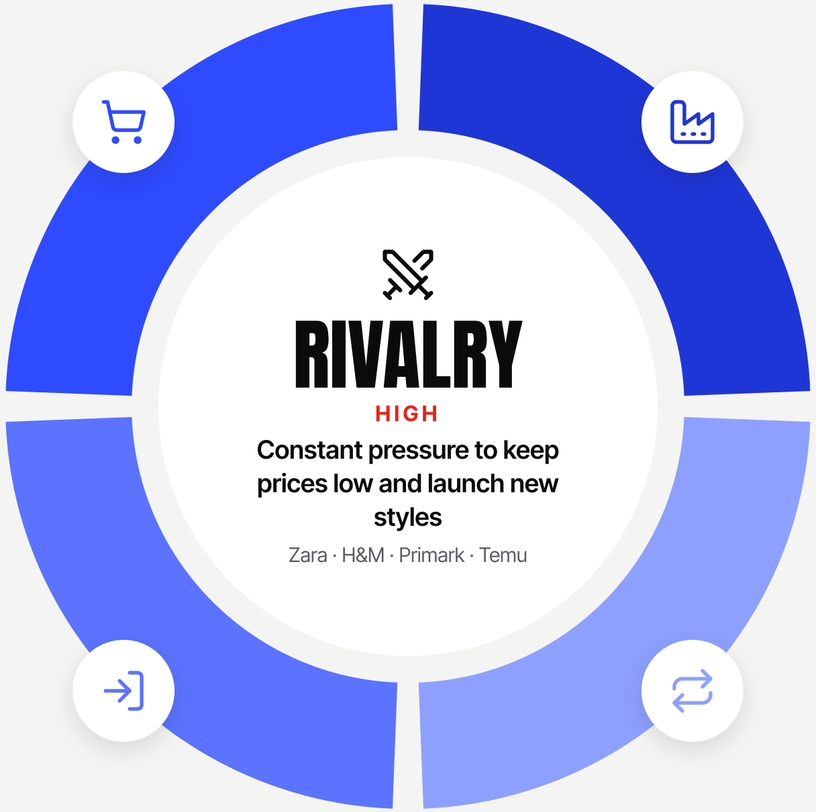
Low switching costs: customers compare and switch in one click

SUPPLIER POWER

LOW–MEDIUM

Flexibility controls costs, but disruptions hurt

Large network of manufacturers gives Shein leverage



NEW ENTRANTS

HIGH

New online competitors can enter the market

Social media makes launching easy, but Shein's scale is hard to copy

SUBSTITUTES

MEDIUM–HIGH

Changing preferences can reduce demand

Second-hand, thrift and durable, sustainable brands

PRESSURE FROM EVERY SIDE



P

POLITICAL

Duty-free small parcels are ending

NEGATIVE

E

ECONOMIC

Growth, profit and valuation are falling

NEGATIVE

S

SOCIAL

Tolerance for fast fashion is shrinking

NEGATIVE

T

TECHNOLOGICAL

AI helps everyone, rules demand traceability

MIXED

E

ENVIRONMENTAL

Emissions up 23% in one year

NEGATIVE

L

LEGAL

Over €210 million in fines since 2025

NEGATIVE

POLITICAL

NO MORE DUTY-FREE SMALL PARCELS IN THE US AND EU

€3 DUTY PER PRODUCT IN EU

GEOPOLITICAL POSITIONING OF SHEIN

FORCED-LABOR POLITICS CONCERNING XINJIANG COTTON

4.6bn

low-value parcels entered the EU in 2024, **over 90% from China**

ECONOMIC

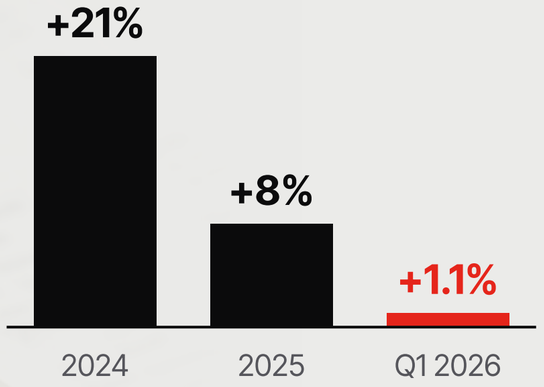
CUSTOM DUTIES AND HANDLING FEES

PRICE-SENSITIVE CONSUMERS SHOP ELSEWHERE

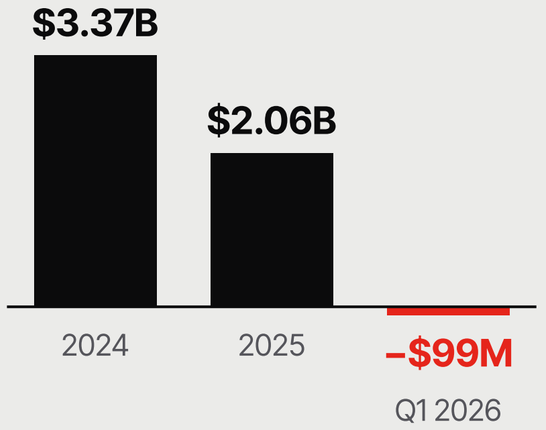
RESULTS:

- ↘ Growth is slowing
- ↘ Profit has dropped
- ↘ Shein’s valuation has shrunk by half

Revenue growth is slowing



Net income is falling ($ billion)



$100B → $40-50B

Valuation halved
2022 → now

SOCIAL

PUBLIC AND POLITICAL TOLERANCE FOR FAST FASHION IS SHRINKING

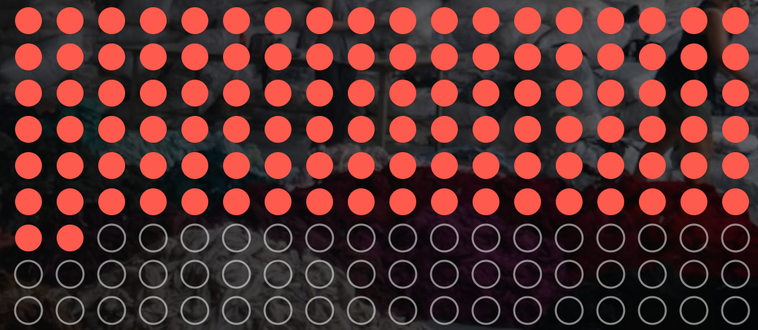
PRODUCT SAFETY IS LACKING

ILLEGAL PRODUCTS ON SHEIN'S WEBSITE

UNREASONABLE LABOR CONDITIONS

THE NORMS ARE CHANGING

110 OF 162



items from Shein and Temu failed EU standards in tests by a German testing body, including unsafe toys and toxic metals in jewelry.

TECHNOLOGICAL

PLATFORM AND AI TECHNOLOGIES

They lower the cost of personalization and trend detection, for everyone

REGULATORY TECHNOLOGY REQUIREMENTS ARE GROWING

EU digital product passports and traceability rules

TEXTILE-TO-TEXTILE RECYCLING IS MATURING SLOWLY

Recycled supply is still limited, but improving

ENVIRONMENTAL

EMISSIONS UP 23% IN ONE YEAR

SPEED = AIR FREIGHT

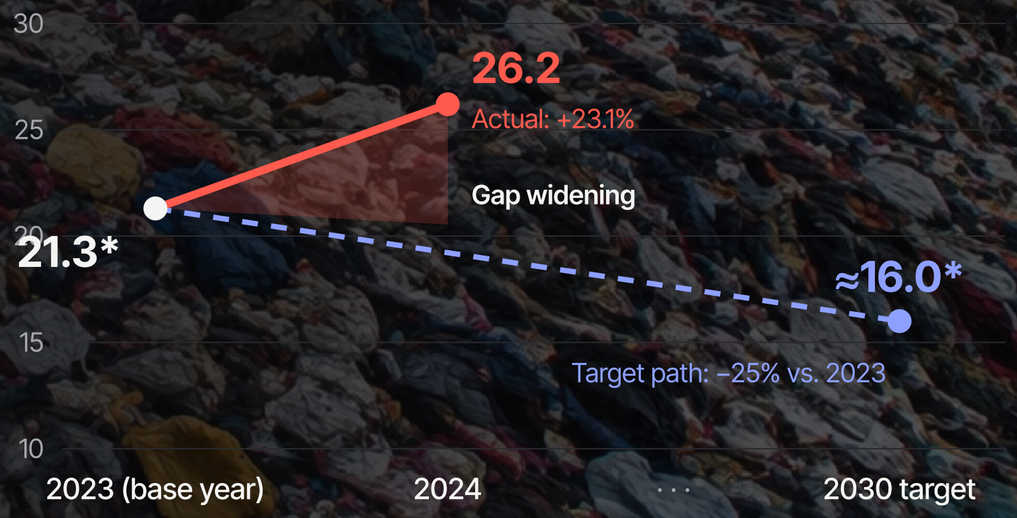
ONLY 9% RECYCLED POLYESTER

THROWAWAY CULTURE AND TEXTILE WASTE

EFFORTS EXIST, BUT GROWTH OUTPACES THEM

EMISSIONS ARE MOVING AWAY FROM THE TARGET

Shein's emissions vs. its own target (million tonnes CO2e)



*Calculated from Shein's own figures: 26.2 Mt in 2024 is +23.1% vs. 2023; the SBTi target is a 25% cut in Scope 3 by 2030 vs. 2023. Source: Sustainability Magazine; Shein Group.

LEGAL

RECORD FINES: OVER €210 MILLION SINCE 2025

EU DIGITAL SERVICES ACT: UP TO 6% OF TURNOVER

FRANCE AND THE EU NOW REGULATE ULTRA-FAST FASHION BY LAW

FORCED-LABOUR IMPORT BANS

COPYRIGHT LAWSUITS

OVER €210 MILLION IN FINES SINCE 2025

Shein's fines in Europe since 2025 (€ million)

CNIL France, cookies (Sept 2025)
€150M

DGCCRF France, fake discounts and green claims (July 2025)
€40M

DGCCRF France, product information (June 2026)
€22.5M

AGCM Italy, greenwashing (Aug 2025)
€1M

Maximum possible EU Digital Services Act fine (6% of turnover)

≈ €2,100M ($2.5B)

Today's fines are small compared with what is coming. Max DSA fine = 6% of 2025 revenue of $41.8 billion.
Sources: CNIL; Caixin; Euronews; Lewis Silkin.

03

SWOT

INSIDE THE COMPANY

STRATEGIC POSITION

S STRENGTHS

- Affordable pricing
- High production speed
- Expansive product assortment
- Social media marketing
- App design



W WEAKNESSES

- Long shipping times
- Poor customer service
- Disreputable brand image
- Inconsistent quality
- Unethical labor practices



O OPPORTUNITIES

- Physical retail channels
- Online marketplace expansion
- Brand acquisitions





T THREATS

- New environmental rules
- Sanctions on ultra fast fashion
- ESG repercussions
- Intense competition





THREE NUMBERS, TWO SIDES

STRENGTH

2,000-10,000

new products per day

WEAKNESS

7,667

complaints to the Better Business Bureau in the last 3 years

WEAKNESS

75H

work weeks, with severe underpayment and exposure to toxic chemicals and PFAs

04

STRATEGY

THE WAY FORWARD

THE CHALLENGES BEHIND SHEIN'S GROWTH

GROWTH — Slowing momentum

LEGITIMACY — Regulation · Reputation

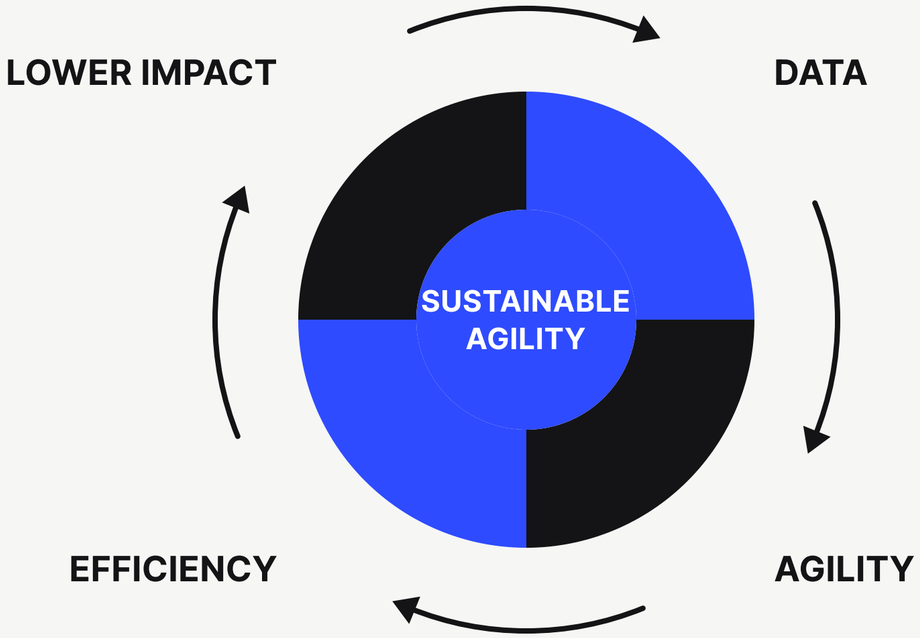
BUSINESS MODEL — Low price · High volume · High impact



Source: Statista (company filing), "Shein Faces Growth Challenges Ahead of IPO", CC BY-ND

SHEIN MUST SCALE GROWTH WITHOUT SCALING IMPACT.

WHAT SHOULD SHEIN'S STRATEGY BE?



KEEP

Data
Speed
Agility
Digital

CHANGE

Materials
Suppliers
Waste

FROM FAST GROWTH → SUSTAINABLE GROWTH

THE WORLD AROUND SHEIN IS CHANGING FASTER THAN SHEIN.

THANK YOU · QUESTIONS

SOURCES

INTRODUCTION

Shein Group, investor relations. ir.sheingroup.com

POLITICAL, ECONOMIC, SOCIAL

Caixin, Shein moves closer to Hong Kong IPO as growth slows. caixinglobal.com

Parameter, Shein's Hong Kong IPO marks dramatic 70% valuation drop. parameter.io

Cyprus Mail, EU to impose €3 duty on e-commerce parcels from July 2026. cyprus-mail.com

Khaleej Times, Shein reveals key financials ahead of Hong Kong IPO. khaleejtimes.com

BBC, China tainted cotton. bbc.co.uk

The Edge Malaysia. theedgemalaysia.com/node/812066

ENVIRONMENTAL AND LEGAL

Sustainability Magazine, Shein carbon emissions 2024. sustainabilitymag.com

Bloomberg, Shein transport emissions jump in 2024. bnnbloomberg.ca

Shein Group, Planet. sheingroup.com/planet

FashionUnited, Why Brussels is accelerating its textile regulatory battle. fashionunited.com

CNIL, Shein fined 150 million euros. cnil.fr

Caixin, Shein fined by French watchdog. caixinglobal.com

Euronews, Italy greenwashing fine. euronews.com

Lewis Silkin, DSA formal proceedings against Shein. lewissilkin.com

Modaes, French law against ultra-fast fashion. modaes.com

NBC, RICO lawsuit. nbcnewyork.com

PHOTO

Francois Le Nguyen, clothing sorting warehouse, Unsplash License. unsplash.com/photos/pouTfHUG430

STRATEGIC ISSUES

Statista, Shein Faces Growth Challenges Ahead of IPO. statista.com/chart/36563